there are no restrictions on the number of riders one can add to a basic cover, the premium on health-related or critical illness riders cannot exceed 100 per cent of the premium under the basic policy.

MAKING INSURANCE WORK FOR YOU

Understanding life insurance requires a lot more than just comparing policies on the basis of premiums one has to pay. One has to look for policies that are similar in all aspects to make a reasonable comparison. However, no two policies from different insurers are exactly the same. Instead of chasing the futile exercise of selecting the lowest cost insurance, even in case of pure term plans that can be compared, it may be meaningful to check terms and conditions mentioned for each policy.

It is equally important to visit the insurance company's website to check their claims settlement history. After all, you would not want your dependants running from pillar to post to get the proceeds from the policy. Choose a policy from an insurer whom you are comfortable buying a policy from. You could buy a policy online on your own or use the services of an agent to do so. There are advantages and disadvantages in both, but when it comes to policy servicing, especially claims, agents are known to be of immense help instead of leaving your nominees to fend for themselves.

When you buy life insurance, you must have clarity on who the beneficiary is. However, it is not necessary that you have the same nominee some years later. For instance, when single, you may take a policy with your parent(s) as the nominee. But, you may wish your spouse to be the beneficiary on the same policy once you are married. The provision of nomination allows you to change the nominee on your policy as often as you wish during the policy tenure. You are free to make a judicious choice based on your life's changing circumstances.

Meanwhile, just like how gambling establishments take a very poor view of cheaters, insurers also have a negative view of those who try to cheat the system. So, do not lie about your health and any other information that is sought on your insurance application. The terms and conditions listed on your policy document list wrong information as a reason for claims being denied or a policy getting cancelled when you need it the most.

There is a school of thought that champions term insurance policies as a must-have and shuns every other form of life insurance. As mentioned earlier, vacillating so that you can buy the 'perfect' life insurance policy is a futile exercise; everyone's life circumstances and needs differ and so does the policy they choose. Only term plans may be suited for several people, but so would perhaps the many other forms of life policies that exist. Still many others may opt for a combination.

In the chase to get the right insurance policy, do not gamble with the future of your dependants. Accidents, illness and death can happen at any time. It is advisable to hope for the best and plan for the worst. The main purpose of a life insurance policy is to provide survivor benefits for beneficiaries. Life insurance helps you plan for the worst that can happen tomorrow so that you can sleep in peace today. ■

LIFE INSURANCE AS INVESTMENT?

The answer to this question is not a straight yes or no. It's like comparing apples and oranges. Chances are that most people will vociferously say they are not the same. But there will be a section that will view them as similar, because both are fruits. Life insurance and investments are both financial instruments that are necessary in one's financial life.

A salesman may sell you life insurance as an investment product, in which you could also save income tax. But life insurance is an investment that you make on yourself for the secure future of your family. In this aspect, life insurance is different from other known investment instruments such as stocks or mutual funds in which the money that you deploy has the prospect to grow and appreciate in value. Life insurance is first a financial protection instrument. It is impossible to value a human life, especially when you ask the near and dear ones. Yet, one can arrive at a figure that may be close to the worth of one's life, based on one's future earning potential, current income that funds the living expenses of financial dependants and future financial goals that one may have. Now, if one takes an appropriate life insurance cover that matches this financial figure, it is an investment that can pay the financial dependants handsome returns in case of the untimely death of the policyholder.

YOUR LIFE INSURANCE NEEDS CAN CHANGE AND BECOME MORE COMPLEX OVER TIME. IT IS IMPORTANT TO REVIEW INSURANCE GOALS IF YOUR PRIORITIES HAVE CHANGED